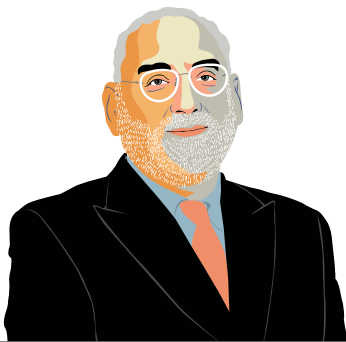


India Needs a New Federal Compact

What is needed is a robust and institutionalised system of resource federalism as an intrinsic part of fiscal federalism



OVER THE LAST three decades, the nature of the economic regime in India has undergone an unrecognisable transformation. Business Today, an offspring of liberalisation, launched as it was a year after the economic reforms of 1991, has been a witness to India moving from state socialism to business liberalism, closed economy to an open one, and a controlled economy to a regulated one. The fragmented and protected markets across 14 states and six Union territories in 1956 are now a unified common economic space across 28 states and eight Union Territories.

The Indian economy was just about \$30 billion in 1951, which is roughly the size of the Jammu & Kashmir economy today. The bigger states like Maharashtra, Tamil Nadu, Karnataka, and Uttar Pradesh have their sights set on becoming \$1-trillion economies. Collectively, the states now raise more revenues and undertake more public expenditure than the Centre.

Despite this, the states continue to be tied to the apron strings of the Union in a federal system, whose foundational framework is infirm, and the design as laid out in the Constitution of India, simply outdated. The needs, requirements and policy instrumentalities of an open regulated economy are very different from those of a closed economy for which the current framework

has been designed.

To ensure growth, federalism must move beyond government finances. A new federal compact must be defined in the context of the contemporary relationship between the state and markets. The new framework of federalism should be based on the needs of the economy and not on the requirements of the government.

Given the growing size and significance of the states, the overwhelming dominant “vertical federalism” inbuilt in the Indian model needs to be revisited. It might well be the time to introduce “lateral federalism” in the fiscal-federal policy regime in India. If individual states can coordinate with each other then they could internalise externalities and achieve the social optimum for the federation.

In this rejigged federated structure, the Centre will exercise leadership instead of control, and economic support instead of dominance and that will form the foundation of the new federal compact between the Union with states and between states. The design of the lateral federal structure should be such that it will align with the market-led growth paradigm by focusing on the natural resources – minerals, oil, natural gas, and hydropower—which are the key revenue drivers for, and major constraints to macroeconomic growth and its spread across the sub-na-